

Organization

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Course agenda

Date	Main theme
13.04.2026	Definitional basics of organization
20.04.2026	Formal organizational design
27.04.2026	Organization and environment
04.05.2026	Strategic organization design
11.05.2026	Technology and organization
18.05.2026	Information technology, AI, and organization
01.06.2026	Informal organization

Date	Main theme
08.06.2026	Informal organization
15.06.2026	Dynamic perspectives on organizing
22.06.2026	Guest lecture, Felix Ehrenfels, mmmake
06.07.2026	Trends in organization design
13.07.2026	Trends in organization design
17.07.2026	Review and wrap-up

What you should be able to do after this session

Learning goals

- Understand how strategy and structure are related.
- Understand the strategic intent of organizations.
- Analyze key tensions in strategic organization design.
- Understand that strategy is enacted in practice.



Image source: ChatGPT

Origins of the term “strategy”

- **Greek:**
 - Stratos (army) + agein (to lead)
 - The commander: ‘strategos’
- The commander is looking at every possible scenario, planning an attack, surveying the enemy forces, and reviewing his own army’s strength.



https://medium.com/@jack_nadar/the-etymology-of-strategy-4e8035c8f497;

Image source: ChatGPT

Key characteristics of strategy



- Internally developed guiding concept of the company
- Aligned with the company's specific capabilities
- Aimed at achieving competitive advantages
- Weighing opportunities and risks

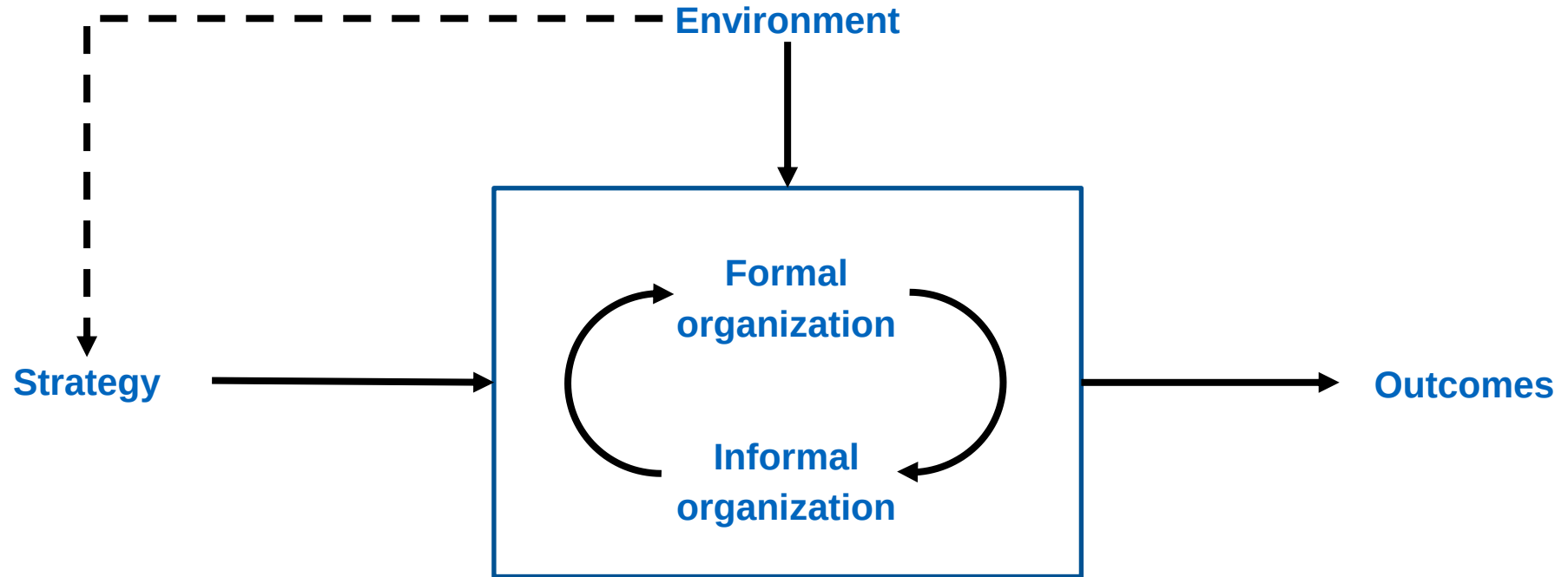
A practical example

- **Internally developed guiding concept:**
Lidl follows a clear internal principle, offering everyday products at consistently low prices through radical efficiency.
- **Aligned with the company's specific capabilities:**
Lidl builds on strengths in purchasing power, private labels, logistics, standardization, and simple store operations.
- **Aimed at achieving competitive advantages:**
Lidl gains a cost advantage by limiting product variety, simplifying store layouts, reducing complexity, and keeping operating costs low.
- **Weighing opportunities and risks:**
Lidl accepts the risk of less variety and a less personalized shopping experience in order to exploit the opportunity of attracting price-sensitive customers.



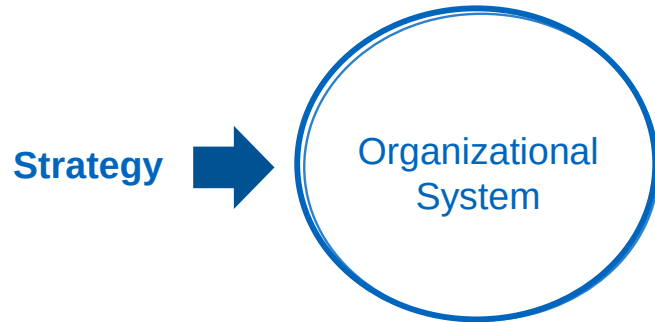
Structure follows strategy!

As proclaimed by Alfred Chandler



Does structure really follow strategy?

Structure follows strategy
Idealized planning model



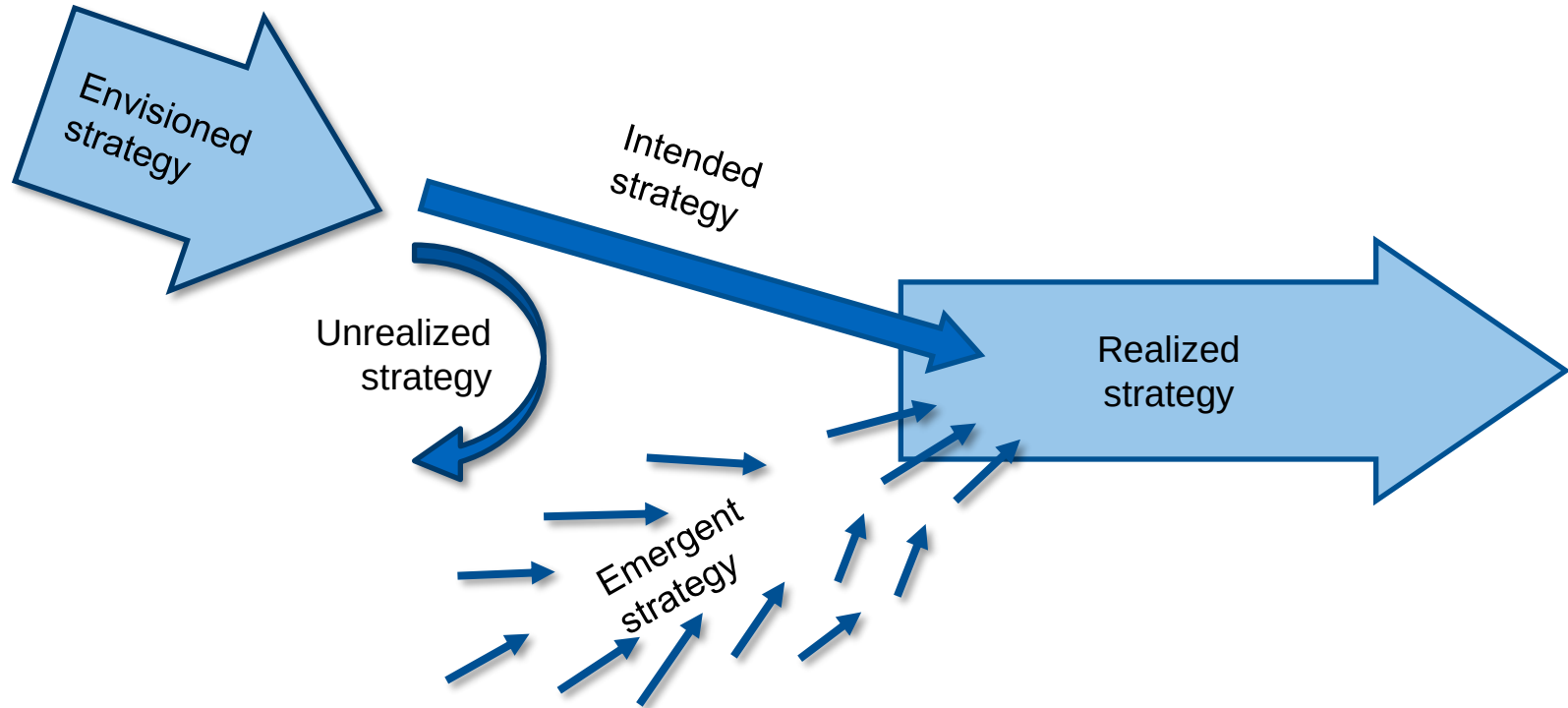
Intent formation → intent implementation
Individual planning

Strategy follows structure
The firm is a social system



Social strategy formation
System planning

Does structure really follow strategy?



Schreyögg, G., & Geiger, D. (2024). Organisation: Grundlagen moderner Organisationsgestaltung (7th ed.). Springer.

Roadmap for today

1. Understanding strategic intent

Mission, vision, purpose, and goals



2. Managing strategic tensions

Ambidexterity, diversification, responsibility



3. Enacting strategy in practice

Strategizing and emergence

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Strategizing and emergence

→ **Why this matters: Organization design requires criteria. Strategic intent provides those criteria.**

Strategic intent

Strategic intent can be expressed through four concepts

Mission

- Core question: What do we do?
- Main function: Defines the present organizational task

Vision

- Core question: What do we want to become?
- Main function: Provides a future-oriented image

Purpose

- Core question: Why do we exist?
- Main function: Articulates broader meaning and justification

Goals

- Core question: What do we aim to achieve?
- Main function: Translates intent into more concrete targets

Why strategic intent matters for organizational design



- Which activities should receive attention and resources?
- Which capabilities need to be supported?
- Which units, roles, or practices need coordination?
- Which trade-offs the organization must accept?
- Which outcomes count as successful implementation?

→ **Without strategic intent, design decisions lack evaluative criteria and direction.**

Exercise

Identifying strategic intent

Task:

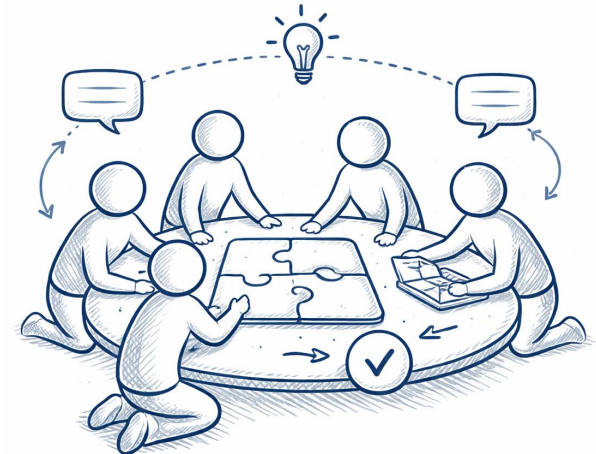
- Choose one real-world organization.
- Prepare one slide with:
 - Mission, vision, purpose, goals
 - One design implication
- Be prepared to present your slide briefly.

Goal:

- Deepen your understanding of strategic intent.

Modus:

- Groups work.



Exercise debrief

Identifying strategic intent

- Are mission, vision, purpose, and goals clearly distinct?
- Which formulation is most actionable for organization design?
- Where does the strategic intent remain vague?

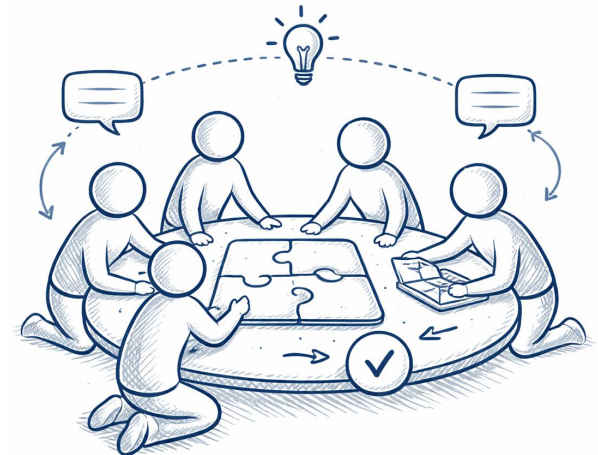


Image source: ChatGPT

Roadmap for today

1. Understanding strategic intent

Mission, vision, purpose, and goals



2. Managing strategic tensions

Ambidexterity, diversification, responsibility



3. Enacting strategy in practice

Strategizing and emergence

→ **Why this matters: Strategic organization design often means managing tensions rather than solving them once and for all.**

Managing strategic tensions



1. **Ambidexterity**
2. Diversification
3. Responsibility

Large organizations face a serious tension

Being, both, cruise ship and speed boat

Exploiting current capabilities and managing complexity



Image source: pixabay.com

Exploring new capabilities to adapt to dynamic environments



Dual strategies and organizational ambidexterity

Dual Strategies

Firms need

1. A strategy for today that exploits existing resources and capabilities and current market positions
2. A strategy for tomorrow that prepares the firms for the future

Organizational Ambidexterity

Firms need to

1. Exploit existing resources and capabilities and market positions
2. Explore new opportunities for the future

Structural ambidexterity:

exploration and exploitation allocated to different organizational units

Contextual ambidexterity:

same organizational units and people perform both exploration and exploitation

Example: Ambidexterity in the Agility Lab

The Agility Lab separates experimentation from routine administration

- **Exploitation:** Administration focuses on efficiency, reliability, and stable routines.
- **Exploration:** The Agility Lab focuses on experimentation with agile methods, tools, and spaces.
- **Structural ambidexterity** is implemented through structural separation. This protects ongoing administrative processes while creating room for exploration.



Rost, M., & Brem, A. (2024). Ambidextre Projektstrukturen für eine agile Hochschulverwaltung. Das Agility Lab der Universität Stuttgart. Wissenschaftsmanagement, 1-6; Image source: Universität Stuttgart/ Uli Regenscheit

Example: Ambidexterity in the Agility Lab

The Agility Lab also facilitates contextual ambidexterity

- Agile methods, OKR, Scrum, digital tools, and room concepts are tested in pilot areas.
- Participation is voluntary and limited to parts of employees' working time.
- Employees remain embedded in standard administrative processes.
- This creates **contextual ambidexterity**: employees balance routine work and experimentation.



Rost, M., & Brem, A. (2024). Ambidextre Projektstrukturen für eine agile Hochschulverwaltung. Das Agility Lab der Universität Stuttgart. Wissenschaftsmanagement, 1-6; Image source: Universität Stuttgart/ Uli Regenschneit

Example: Ambidexterity in the Agility Lab

The Agility Lab acts as a bridge between exploration and exploitation.

- Successful practices are adapted and transferred to regular departments.
- Communities, training, and train-the-trainer formats diffuse agile knowledge.
- “Agile ambassadors” carry new practices back into the organization.
- Open question: how sustainably these practices transform administrative routines.



Rost, M., & Brem, A. (2024). Ambidextre Projektstrukturen für eine agile Hochschulverwaltung. Das Agility Lab der Universität Stuttgart. Wissenschaftsmanagement, 1-6; Image source: Universität Stuttgart/ Uli Regenscheit

Exercise

Implementing ambidexterity

Task:

- Reconsider your startup “SHOEDORA”
- In which functions are exploration versus exploitation important?
- How would you design the organization to make sure that exploration and exploitation are realized?

Goal:

- Understand implications of ambidexterity for organizational design

Modus:

- Pair work.
- Be prepared to share your ideas.



Managing strategic tensions



1. Ambidexterity
2. **Diversification**
3. Responsibility

Focus versus diversification

Focus

- Focusing in terms of location, product, customer segments, etc.
- Maintaining clarity about where value is created.

Diversification

- Diversifying into additional locations, products, or customer segments.
- Diversification can be attractive, but it is not automatically value creating.

→ **When does diversification justify the additional organizational complexity?**

Grant, R. M. (2021). Contemporary strategy analysis. John Wiley & Sons.

Why organizations diversify

Three motives for diversification

Growth

Organizations may seek to escape stagnant or declining industries.

Risk spreading

Diversification can reduce variance in profit flows.

Value creation

Diversification creates value only if common ownership increases total profitability.

Porter's three tests

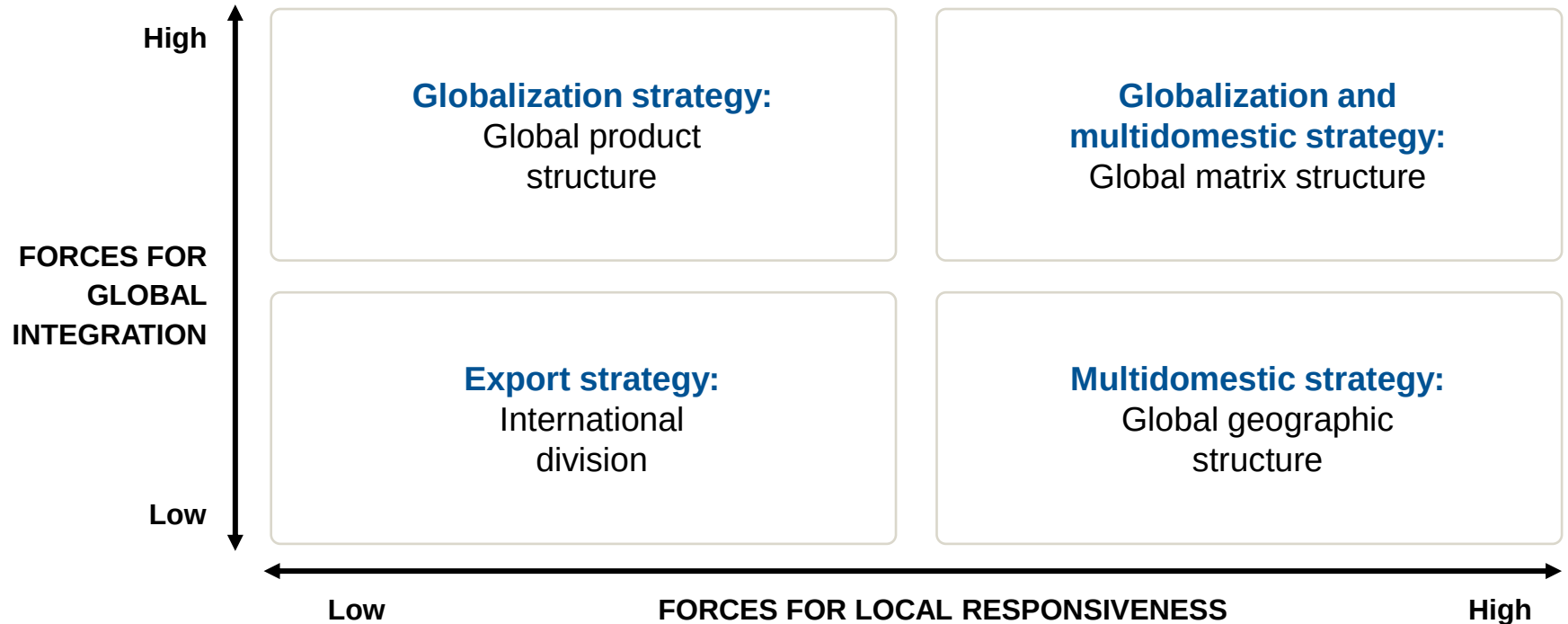
For diversification to create shareholder value, it must pass three tests:

Attractiveness test Diversification must target attractive industries or industries with attractive potential.

Cost of entry test The cost of entry must not absorb all future profits.

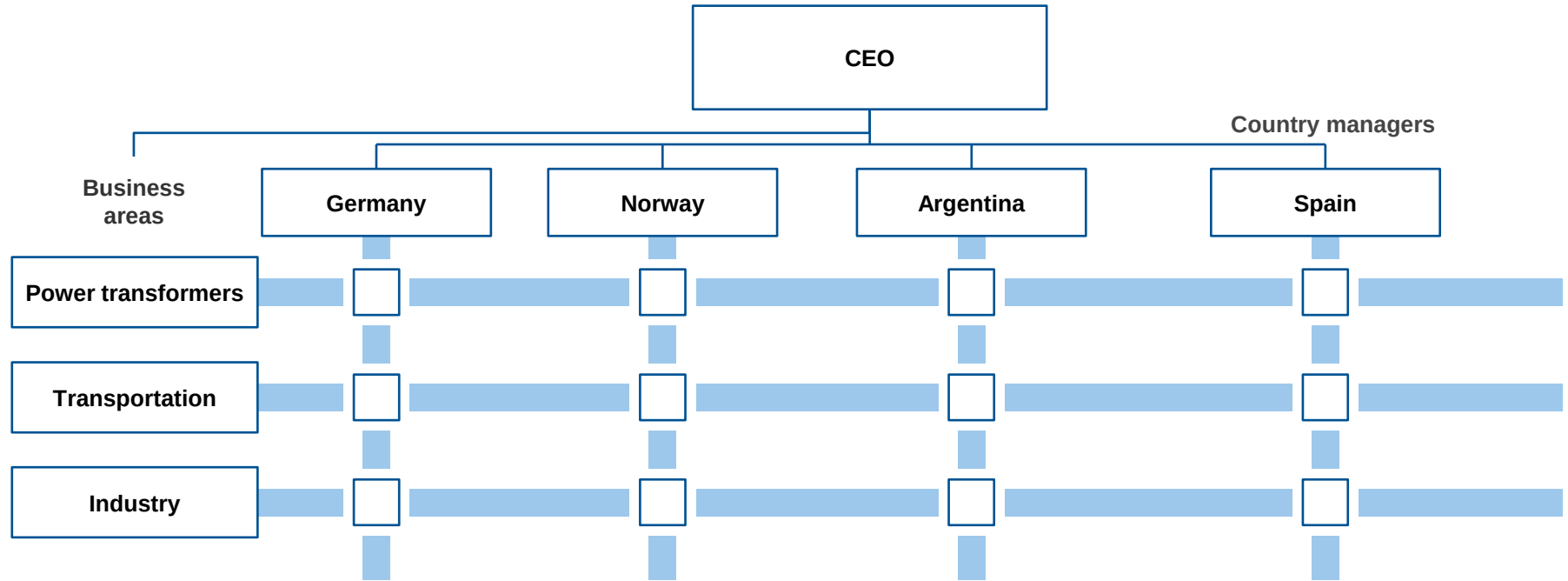
Better-off test Synergy: The new unit must gain advantage from its link with the company, or the company must gain advantage from the new unit.

Design implications of globalization



Daft, R. L., Murphy, J., & Willmott, H. (2022). Organization theory and design: An international perspective (4th ed.). Cengage.

Example: Global matrix structure in an industry firm



Daft, R. L., Murphy, J., & Willmott, H. (2022). Organization theory and design: An international perspective (4th ed.). Cengage.

Exercise

Challenges of diversification

Task:

- What are the challenges of diversification in large firms?
- Identify 3 concrete challenges and think about how you would address them.

Goal:

- Understand challenges of diversification for organization design

Modus:

- Pair work.
- Be prepared to share your ideas.

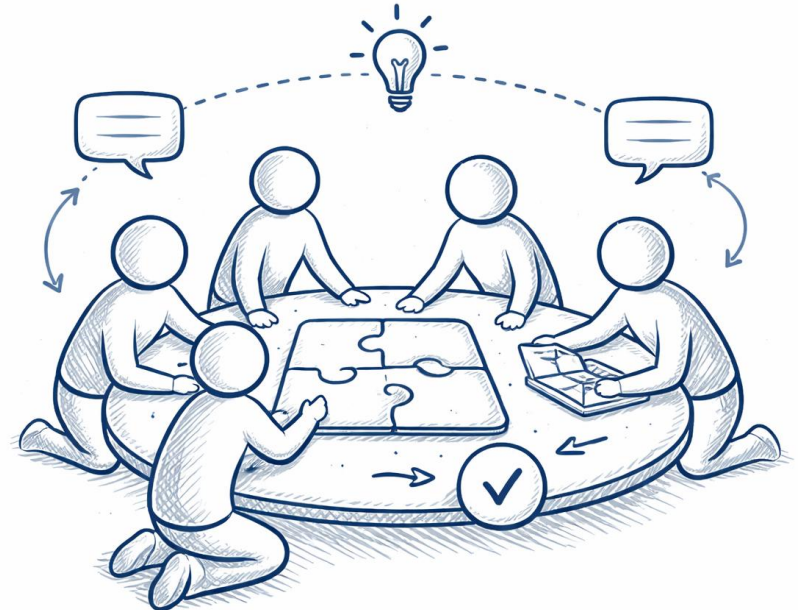


Image source: ChatGPT

Managing strategic tensions



1. Ambidexterity
2. Diversification
3. **Responsibility**

Exercise

Irresponsible behavior

- The public media sometimes reports on corporate incidents and behaviors that may be considered irresponsible.
- Which examples come to mind?

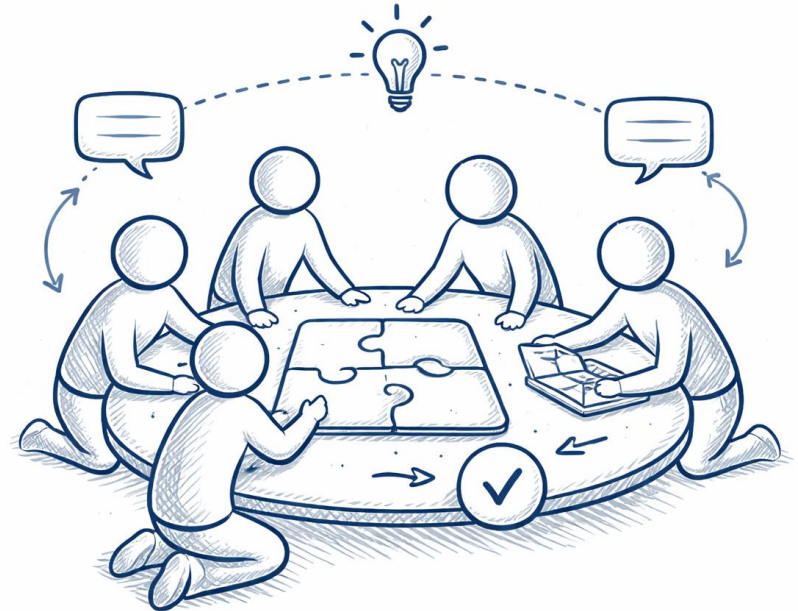


Image source: ChatGPT

Performance versus responsibility



Business performance

- Profit
- Shareholder value
- Efficiency

Broader responsibility

- Stakeholders
- Communities
- Employees
- Animals
- Ecology
- Future planetary conditions

→ **Ethical management concerns how organizations handle the consequences of their actions.**

Clegg, S. R., Pitsis, T. S., & Mount, M. (2025). Managing and organizations: An introduction to theory and practice (7th ed.). Sage.

The gap between legality and ethics

An organization may act legally and still raise ethical problems

- Exploiting workers within legal bounds
- Using unsustainable technologies
- Consuming resources unsustainably
- Producing goods designed to become waste

- **Code of ethics:** Defines formal expectations for ethical behavior, but must be connected to everyday decisions and not remain symbolic.
- **CSR function:** Coordinates social, environmental, and stakeholder responsibilities beyond narrow shareholder value.
- **Stakeholder management:** Identifies affected groups, including employees, communities, suppliers, customers, and the natural environment.
- **Independent auditing:** Uses external standards and reporting systems to reduce the risk of greenwashing.
- **Ethical learning:** Builds employees' capacity for critical reflection, environmental literacy, and responsible judgement.
- **Profit and principles:** Recognizes that ethical responsibility often involves tensions between commercial goals and broader social or ecological consequences.

Shareholders and stakeholders

Two views of organizational responsibility

Shareholder view

- Business should maximize returns to owners.
- CSR may distract from primary obligation.
- Focus on rules of open and free competition.

Stakeholder view

- Shareholders are one stakeholder group among many.
- Responsibility extends to affected groups.
- Focus on costs, benefits, and trade-offs across stakeholders.
- The stakeholder view makes strategic organization management more complex.

→ **The shareholder view tends to prioritize the short-term, and the stakeholder view long-term**

Clegg, S. R., Pitsis, T. S., & Mount, M. (2025). Managing and organizations: An introduction to theory and practice (7th ed.). Sage.

Exercise

Understanding ethics

Task:

- Reconsider your startup “SHOEDORA”
- Identify one area where your actions could be unethical.
- How would you prevent and manage this?

Goal:

- Becoming sensitive to ethics, and understand which actions might be unethical

Modus:

- Pair work.
- Be prepared to share your ideas.



Roadmap for today

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2. Managing strategic tensions

Ambidexterity, diversification, responsibility



3. Enacting strategy in practice

Strategizing and emergence

→ **Why this matters: Strategy is not only something an organization has. Strategy is also something organizational actors do.**

From plan to practice

Strategy as practice

Mainstream strategy view

- Strategy as organization-level plan.
- Focus on financial performance.
- Strategy as top-management decision.
- Implementation as execution.

Strategy as practice view

- Strategy as situated activity.
- Focus on how strategy work is accomplished.
- Strategy as distributed strategizing.
- Implementation as enactment and adaptation.

→ Strategizing refers to the social, material, and discursive activities through which actors shape what becomes strategy.

Jarzabkowski, P., Lê, J. K., Seidl, D., & Vaara, E. (2025). Two decades of revolutionizing strategy research: How strategy-as-practice illuminates the complex, dynamic and consequential ways of doing strategy. *Academy of Management Collections*, 4(2), 55-76.

Strategy is emergent

Realized strategies may diverge from intended strategies. Why?

- Actors interpret strategy differently.
- Middle managers and others make sense of strategy through interactions.
- Implementation creates unintended consequences and breakdowns.
- Plans become consequential only when actors use, interpret, adapt, and negotiate them.

→ **Emergence is not simply the opposite of strategy. It is part of how strategy becomes real.**

Jarzabkowski, P., Lê, J. K., Seidl, D., & Vaara, E. (2025). Two decades of revolutionizing strategy research: How strategy-as-practice illuminates the complex, dynamic and consequential ways of doing strategy. *Academy of Management Collections*, 4(2), 55-76.

Design implications



From a strategy as practice perspective, strategic organization design should ask:

- Who shapes strategy?
- Which practices make strategy possible?
- How does organization enable or constrain strategy?
- How are strategic issues recognized?
- How does strategy change organizations?

Jarzabkowski, P., Lê, J. K., Seidl, D., & Vaara, E. (2025). Two decades of revolutionizing strategy research: How strategy-as-practice illuminates the complex, dynamic and consequential ways of doing strategy. *Academy of Management Collections*, 4(2), 55-76.

Takeaways from today

Strategic intent guides organization design

Structure follows strategy, but strategy also follows structure.

Strategic organization design means managing tensions, such as those related to ambidexterity, diversification, and responsibility.

Strategy becomes real through everyday organizational practice.

Strategy and organizing are increasingly shaped by technology.

Feedback

Please fill out the survey



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Contact information



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